

own plumber, maid, electrician, washerman, and what not.”<sup>2</sup> With no hired help and a very tight rein on expenses, Papa Patel’s motel has the lowest operating cost of any motel in the vicinity. He can offer the lowest nightly rate and still maintain the same (or higher) profitability per room than his predecessor and competitors. As a result, he has higher occupancy and is making super-normal profits. His competitors start seeing occupancy drop off and experience severe pressure on rates. Their cost structures prohibit them from matching the rates offered by the Patel Motel—leading to a spiraling reduction in occupancy and profits.

The stereotypical Patel is a vegetarian and leads a very simple life. Most restaurants in the United States in the 1970s don’t serve vegetarian meals, so eating at home is all the more attractive—and much cheaper for Patel families. They are busy with the motel day and night, so they have little time for recreational activities. As a result, the total living expenses for this family are abysmally low. With a single beater car, no home mortgage, rent, or utilities, and zero commute, eating out, or spending on vacations or entertainment of any type, Papa Patel’s family lives quite comfortably on well under \$5,000 per year.

Prices are far lower in the 1970s—the minimum wage is just \$1.60. The best Papa and Mama Patel could hope for is total annual earnings of about \$6,000 per year if they both take up jobs and work full-time. If they buy a 20-room motel at a distressed price of \$50,000 with about \$5,000 in cash and the rest financed, even at rates of \$12 to \$13 per day and 50 percent to 60 percent average occupancy, the motel will generate about \$50,000 in annual revenue.

In the early 1970s, with treasuries yielding about 5 percent, an owner or most banks will be delighted to finance the motel purchase at a 10 percent to 12 percent interest rate with a lien on the property. Mr. Patel has annual interest expenses of about \$5,000, principal payments of \$5,000, and another \$5,000 to \$10,000 in out-of-pocket expenses for motel supplies, maintenance, and utilities. Total expenses are thus under \$20,000. Even if the family spends another \$5,000 a year for living expenses (a grand sum in 1970), Papa Patel nets over \$15,000 a year after all taxes and all living expenses. If he had borrowed the \$5,000 from a fellow Patel, he has it fully